

# RaceSims · Chennai — Built to Profit

COVERS ALL COSTS AT 10% FULL · PROFITABLE FROM MONTH 3 · MONEY BACK IN ~13 MONTHS

The picture: a "rig" is one racing simulator seat. The centre covers every cost when its seats are just 10% booked — and a real RaceSims dealer already runs at twice that. From there it is firmly profitable; the figures below show how much.

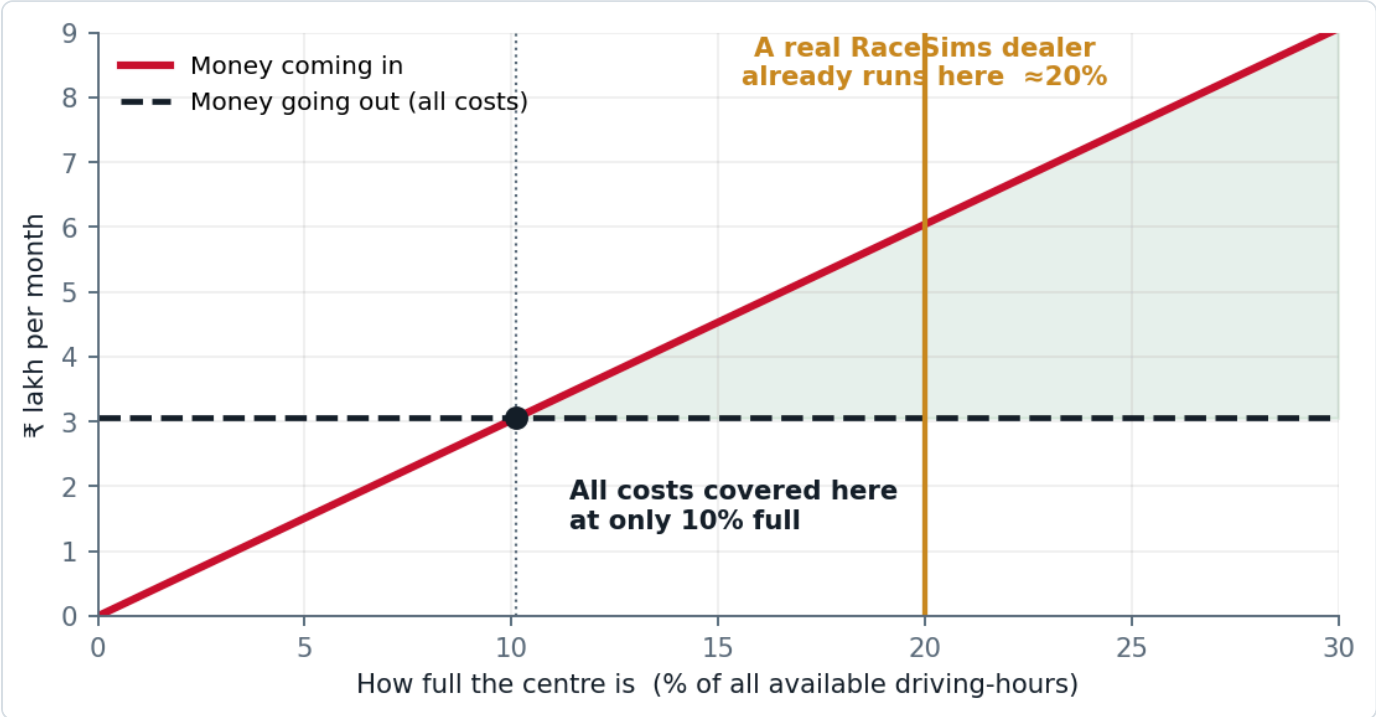
10% full  
covers every cost

₹8.4–28.9L  
first-year profit

₹68.3L  
total invested

~13 months  
money back

## 1 · All costs covered at just 10% full

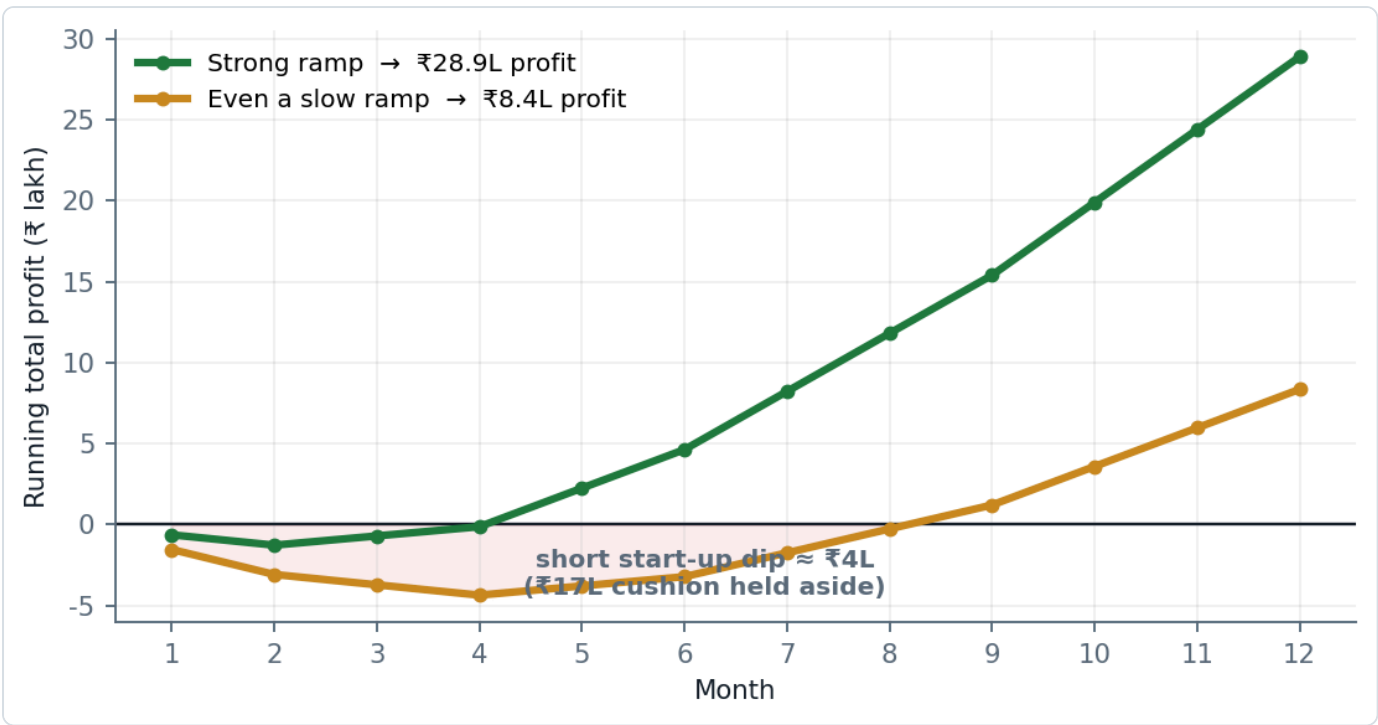


The red line is money coming in as the centre fills up; the dashed line is everything it costs to run. They cross at just 10% full — every rupee above that is profit. A real dealer already runs at about 20%, well into the green.

## The numbers at a glance

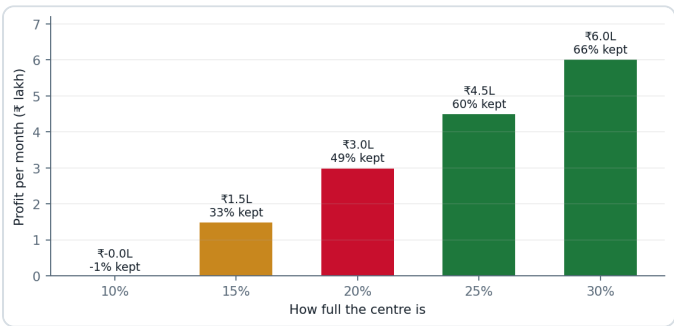
|                                  |                                           |
|----------------------------------|-------------------------------------------|
| What it is                       | 8 racing rigs + 2 staff, drop-in sessions |
| Seats available                  | 2,496 driving-hours every month           |
| Average price / hour (after tax) | ₹1,210                                    |
| Cost to run each month           | ₹3,05,500                                 |
| Covers all costs at              | just 10% full                             |
| Money invested                   | ₹68.3L (₹59.0L net of recoverable items)  |
| First-year profit                | ₹28.9L strong · ₹8.4L slow ramp           |
| Money back in                    | about 13 months                           |
| Making money from                | Month 3 (strong) · Month 5 (slow)         |

2 · A short start-up, then steady profit



Running total of profit through the first year. Even a slow ramp (gold line) is comfortably profitable; the only early dip is about ₹4 lakh, against a ₹17 lakh cushion held aside. Profit lands by month 3–5 and climbs steadily.

3 · Profit grows fast as we fill up



| HOW FULL | SALES / MO | PROFIT / MO | % KEPT |
|----------|------------|-------------|--------|
| 10% full | ₹3.02L     | ₹-0.03L     | -1%    |
| 15% full | ₹4.53L     | ₹1.48L      | 33%    |
| 20% full | ₹6.04L     | ₹2.99L      | 49%    |
| 25% full | ₹7.55L     | ₹4.50L      | 60%    |
| 30% full | ₹9.06L     | ₹6.01L      | 66%    |

Every extra bit of "fullness" adds about ₹0.30 lakh of profit a month. By 25% full we keep 60 paise of every rupee.

# RaceSims · Chennai — The Plan, in Full

WHAT WE SPEND · WHAT IT COSTS TO RUN · WHAT WE MAKE

**The plan.** A premium sim-racing centre run by Racesims Solutions Pvt Ltd — **8 racing rigs, 2 staff**, about 1,142 sq ft, open 12 hours a day. People pay to drive; a café and a training academy add further income later.

**What people pay (tax included):** ₹750 for 30 min / ₹1,250 for an hour on a normal rig · ₹1,000 / ₹1,600 on the motion rig.

**Timeline:** from go-ahead to opening ≈ 16 weeks · profitable by month 3–5 · money back in ≈ 13 months.

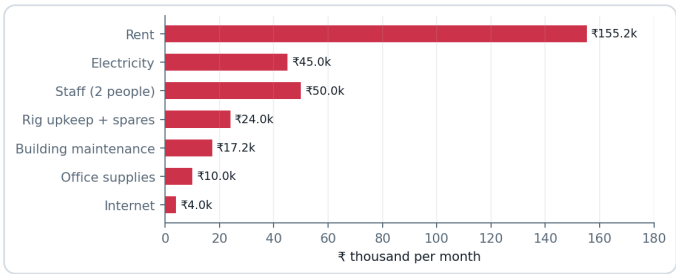
## What we invest (one time)

| ITEM                                         | AMOUNT             |
|----------------------------------------------|--------------------|
| 8 racing rigs (bought at our own cost price) | ₹50,79,200         |
| Deposit — 6 months rent (comes back later)   | ₹9,31,500          |
| Power, electrical & battery backup           | ₹3,00,000          |
| Interiors, branding, coffee & training room  | ₹4,60,000          |
| Cash to run the first 2 months               | ₹6,11,000          |
| Buffer for surprises (5%)                    | ₹3,38,535          |
| <b>Total upfront cost</b>                    | <b>₹77,20,235</b>  |
| <i>less refundable tax (GST credit)</i>      | <i>(₹8,90,756)</i> |
| <b>Money actually spent</b>                  | <b>₹68,29,479</b>  |
| <i>of which deposit (comes back)</i>         | <i>(₹9,31,500)</i> |
| <b>Net cost after recoverable items</b>      | <b>₹58,97,979</b>  |

The rigs are RaceSims' own product, bought at cost — worth ₹85–95L at shop price, so most of the spend is a resellable asset, not money gone.

## What it costs to run (each month)

| ITEM                    | ₹ / MONTH        |
|-------------------------|------------------|
| Rent                    | ₹155,250         |
| Electricity             | ₹45,000          |
| Staff (2 people)        | ₹50,000          |
| Rig upkeep + spares     | ₹24,000          |
| Building maintenance    | ₹17,250          |
| Office supplies         | ₹10,000          |
| Internet                | ₹4,000           |
| <b>Total each month</b> | <b>₹3,05,500</b> |



## What we make

|                                     |                                        |                                          |                                 |
|-------------------------------------|----------------------------------------|------------------------------------------|---------------------------------|
| <b>10% full</b><br>covers all costs | <b>₹8.4–28.9L</b><br>first-year profit | <b>60%+</b><br>profit margin at 25% full | <b>~13 months</b><br>money back |
|-------------------------------------|----------------------------------------|------------------------------------------|---------------------------------|

**A few terms, in plain English.** **How full / occupancy** = share of all seat-hours that are actually booked. **Covers all costs (break-even)** = the point where income equals costs; everything above is profit. **Profit (EBITDA)** = money left after running costs. **GST credit** = tax paid on purchases that the business gets back. **Payback** = time for profit to repay the investment.

Basis: prices include tax; figures assume full company tax and no tax breaks; both ramps are checked against a real RaceSims dealer already operating (≈20% full by month 6). Café & academy income is extra, not counted here. · RaceSims · Chennai · Racesims Solutions Pvt Ltd